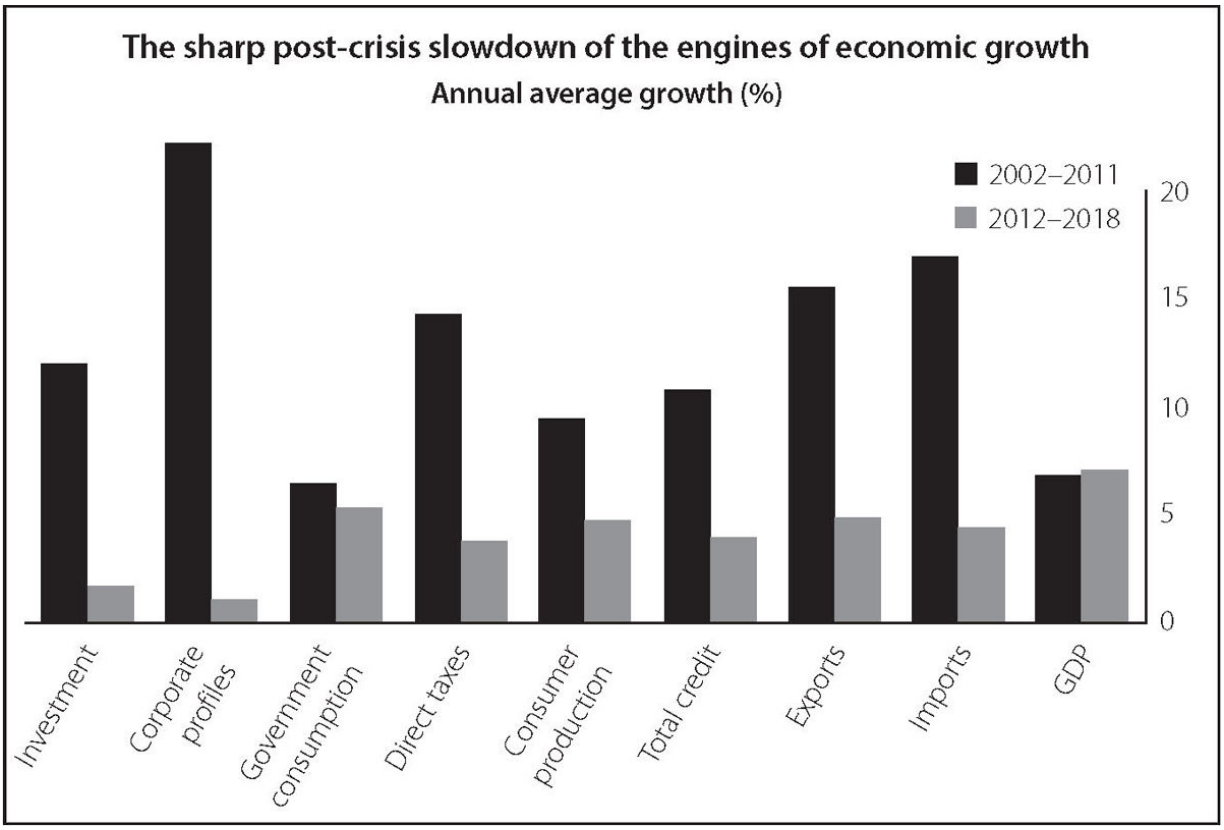
Figure 10.9: The Falling Engines of Economic Growth



Source: Data from Arvind Subramanian and Josh Feldman, 'India's Great Slowdown: What Happened? What's the Way Out?', CID Faculty Working Paper, Harvard University, 2019[40]

While the economy may have entered a larger structural slowdown, economic growth was spluttering and job creation was low (see Figure 10.9), the BJP's focus on low inflation may help explain why the political blowback was relatively less than other governments would have felt for a performance like this. The focus on low inflation rates served as a useful political device in the face of a shrinking economic environment. It provided political cover to the BJP, at least until 2019. Since then, however, a sharp rise in inflation rates at the national level, exacerbated by the pandemic, and rising fuel prices reduced political headroom for the BJP and raised a political challenge for the party.[41]

Not So Right-wing: The Roots of the Modi Model of Economics